

charges, club memberships, whatever. The cash flow system that we created earlier will tell you what your monthly transfer to your Spend-it account is. Multiply that by six.

Remember this is an average; you can increase or decrease this amount depending on your personal situation. Suppose both you and your spouse earn – the probability of both of you losing jobs at the same time is low; in addition, if there are no dependants – you are a double-income no-kids household.

In such lower-risk households, the emergency fund amount can be reduced to three months' spending. But if one salary is fully going towards the EMI, it makes sense to have a bit more than six months' living costs in the emergency fund, and not less.

On the other extreme, if you are the sole earner of a house that has your spouse, kids and parents to support, along with an EMI to pay, you're better off having up to a year's worth of spending in the emergency fund. So, lower the risk to the household, lower is the number of months' spending you need to cover for in the emergency fund. And higher the risk, higher the amount you save.

I'm risk-averse when it comes to my emergency fund, and I keep a year's expenses in a clearly marked emergency fund. We'll see how this allows me to take much more risk with my investments than I would otherwise. But that's in [Chapter 8](#).

Where do you keep this money?

We want to be able to access this money quickly with no loss in value. The worst thing you can do is leave this money sloshing around in your savings deposit. At the time of writing this book, State Bank of India gave 3.5 per cent interest on the savings deposit. You need to move it to a place that is not that easy to access, but yet is liquid enough to be of use when you want it and gives a return that is better than a savings deposit.

The easiest and best-understood product is a fixed deposit. We've all grown up with our dads going to get money 'fixed', and now we can use the new